



# FEDERAL INCOME TAX ACCOUNTING (140)

—Post-secondary—  
STATE – 2019

**Multiple Choice Section:**

Multiple Choice (20 @ 2 points each) \_\_\_\_\_ (40 points)

**Production Portion:**

Problem 1: Schedule A (22 @ 3 points each) \_\_\_\_\_ (66 points)

Problem 2: 1040 (25 @ 3 points each) \_\_\_\_\_ (75 points)

Problem 3: Tax Liability (5 @ 3 points each) \_\_\_\_\_ (15 points)

***TOTAL POINTS*** \_\_\_\_\_ ***(196 points)***

**Graders: Please double check and verify all scores and  
answer keys!**

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*Workplace Skills Assessment Program* competition.



### **General Instructions**

You have been hired as a Financial Assistant and will be keeping the accounting records for Professional Business Associates, located at 5454 Cleveland Avenue, Columbus, Ohio 43231. Professional Business Associates provides accounting and other financial services for clients. You will complete jobs for Professional Business Associates' own accounting records, as well as for clients.

Your name and/or school name should *not* appear on any work you submit for grading. Write your contestant number in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

This test is using 2017 Federal Income Tax Laws.



## Part 1 Multiple Choice

### Part 1- Question Answer Section

1. C
2. C
3. B
4. A
5. B
6. A
7. B
8. D
9. C
10. C
11. D
12. C
13. A
14. D
15. B
16. D
17. C
18. B
19. D
20. C

### Part 2: Form and Schedule Completion

#### PROBLEM #1 JOHN GOOGLE

| <u>Line #</u> | <u>Amount</u>      |
|---------------|--------------------|
| Line 1        | 3,170              |
| Line 2        | 78,300             |
| Line 3        | 5,873              |
| Line 4        | 0                  |
| Line 5        | 4,710              |
| Line 6        | 4,020 (4200 – 150) |

**FEDERAL INCOME TAX ACCOUNTING (PS) - STATE 2019****ANSWER KEY**

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|         |        |
|---------|--------|
| Line 7  | 80     |
| Line 9  | 8,810  |
| Line 10 | 2,710  |
| Line 15 | 2,710  |
| Line 16 | 800    |
| Line 17 | 160    |
| Line 19 | 960    |
| Line 21 | 1,960  |
| Line 22 | 525    |
| Line 23 | 60     |
| Line 24 | 2,545  |
| Line 25 | 78,300 |
| Line 26 | 1,566  |
| Line 27 | 979    |
| Line 28 | 980    |
| Line 29 | 14,439 |

**PROBLEM #2****LEVI SKOAL**

| <u>Line #</u> | <u>Amount</u> |
|---------------|---------------|
| Line 7        | 59,000        |
| Line 8a       | 810           |
| Line 8b       | 210           |
| Line 9a       | 400           |
| Line 9b       | 400           |
| Line 19       | 1,800         |
| Line 21       | 1,500         |
| Line 22       | 63,510        |
| Line 23       | 250           |
| Line 36       | 250           |
| Line 37       | 63,260        |
| Line 38       | 63,260        |
| Line 40       | 12,700        |
| Line 41       | 50,560        |
| Line 42       | 16,200        |
| Line 43       | 34,360        |
| Line 44       | 4,164         |

qualified dividends are taxed at 0



|         |       |
|---------|-------|
| Line 47 | 4,164 |
| Line 52 | 2,000 |
| Line 55 | 2,000 |
| Line 56 | 2,164 |
| Line 63 | 2,164 |
| Line 64 | 3,500 |
| Line 74 | 3,500 |
| Line 75 | 1,336 |

### **PROBLEM #3**

#### **Tax Look-up (10 Points, 2 each)**

*For each of the following situations, use the attached tax tables to find the tax liability*

| <b>Marital Status</b> | <b>Taxable Income</b> | <b>Tax Liability</b> |
|-----------------------|-----------------------|----------------------|
| MFJ                   | 22,860                | 2,499                |
| S                     | 56,520                | 9,870                |
| HOH                   | 38,665                | 5,134                |
| MFS                   | 57,850                | 10,208               |
| QW                    | 48,660                | 6,369                |